Absorbing Transition DID Results: School 985/211 — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.020		-0.013		-0.015
		(0.026)		(0.016)		(0.023)
× Voluntary Rotation		-0.000		0.003		-0.001
		(0.007)		(0.004)		(0.006)
Pooled	-0.003		0.000		-0.003	
	(0.005)		(0.003)		(0.005)	
Mandatory − Voluntary		-0.019		-0.015		-0.014
Difference p-value		0.464		0.352		0.575
Observations	34,483	29,727	34,483	29,727	34,483	29,727
Firms	5,235	4,791	5,235	4,791	5,235	4,791
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.016		-0.005		-0.028
		(0.048)		(0.022)		(0.047)
× Voluntary Rotation		0.002		0.003		0.002
		(0.011)		(0.006)		(0.010)
Pooled	0.002		0.003		0.000	
	(0.011)		(0.006)		(0.010)	
Mandatory − Voluntary		-0.018		-0.008		-0.030
Difference p-value		0.718		0.729		0.528
Observations	15,748	15,135	15,748	15,135	15,748	15,135
Firms	2,283	2,256	2,283	2,256	2,283	2,256
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.025*		0.014		0.026**
		(0.015)		(0.013)		(0.013)
× Voluntary Rotation		-0.002		-0.001		0.000
		(0.004)		(0.003)		(0.004)
Pooled	-0.003		-0.000		-0.001	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		0.027*		0.016		0.026*
Difference p-value		0.081		0.227		0.057
Observations	41,060	35,694	41,060	35,694	41,060	35,694
Firms	5,602	5,244	5,602	5,244	5,602	5,244
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.025*		0.012		0.026**
		(0.014)		(0.012)		(0.013)
× Voluntary Rotation		-0.001		-0.000		0.002
		(0.004)		(0.003)		(0.004)
Pooled	-0.002		0.001		-0.000	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		0.026*		0.012		0.024*
Difference p-value		0.084		0.341		0.078
Observations	43,738	38,204	43,738	38,204	43,738	38,204
Firms	5,602	5,301	5,602	5,301	5,602	5,301
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.